

that the influence of China was greatly exaggerated. That's not to say that China isn't influential and powerful... just that the financial power was exaggerated.

They found many different reasons for this. For starters, in the era of globalisation, it was almost impossible to tell what actual trade deficits or surpluses actually are. A simple example they spoke of in an interview with Business Insider Australia was to illustrate how trade deficits were being calculated. If China imported components of an electronic device from, say Japan, added a few of their own and then assembled the device, they were being credited for the full value of the device. If that device (and

China is considered on the books to be Chinese-owned, when it is obviously US owned.

One of the things to understand here is why companies started manufacturing in China in the first place. Apple for example used to proudly stamp "Made in America" on its devices, but this has now changed to "Designed by Apple in California". An old New York Times article from 2012 by Charles Duhigg and Keith Bradsher chronicles how Steve Jobs freaked out about a few weeks before the launch of the first iPhone, because the keys in his pocket scratched the glass. He wanted the glass replaced, and the assembly line was not set up for such a task, so a Chinese foreman just gathered 8,000 workers from the dormitories of the factory, and had them working 12 hour shifts fitting the glass panels manually, within half an hour. This is the kind of speed flexibility that China offers, which is simply unmatched anywhere else. When China bid to manufacture for Apple, they had already constructed the factory for doing so, when Jobs went

to visit. Corning followed suit. Corning is an American company, and set up plants in China instead of bearing the costs of shipping glass to China, and then having them shipped back to the US as finished products. For the companies at the pinnacle of capitalism, it makes a lot of sense to just move everything to China. Everything that you would want to manufacture a phone for example, is available in Shenzhen. This is why every Indian businessman who makes a trip to China can come back and launch a smartphone here.

WE'VE GOT HOSTILES

If you are worried about what would happen to your life online and how it would change, don't be. The increases in costs because of a strike by China won't affect the internet too much, because most of China isn't even frequenting the same places as you. Thanks to living in a walled garden,

China has many copycat apps and services which rival the Instagrams and Twitters of the world, but they aren't actually on the same network as most of us.

The beauty of the internet is that it's just a network, so it doesn't matter if one part of a network goes down, the rest of the network can still talk to all of its users. Of course, the backbone of the network is still just a bunch of motherboards and CPUs located in a data centre, or in thousands of data centres across the globe, and all of them need maintenance and upgrading.

The internet will be the one place where you won't be affected immediately by a China strike, but it will be the place that drowns you in news about it, and fills your head with a million conspiracy theories, fake news, and a lot of other junk. The comments will always be cancer. Remember that, avoid them, and you will live in bliss.

ENDGAME

As we mentioned earlier in this article, there will be a million things one can think about and then try and extrapolate, and obviously we cannot cover them all. However, there are a few universal truths that we can pretty much depend on. First, China downing shutters to the world will lead to a ton of chaos, this is something no one can deny. Second, this upheaval will change the fortunes of many companies and countries and there will definitely be many losers and many winners, as is always the case for every situation that mankind has ever faced.

Finally, the world waits for no one, and it will find a way to make do. If nothing else, look at the world's response to COVID-19, and how life has been turned upside down for 7+ billion people. Yes, sadly we have had many, many casualties, and yes there are still a few fringe elements who do not follow scientific and medical advice on the subject, but we're still here, and we're tough enough to survive some stupid virus. No matter what the situation, the human spirit always prevails, and nothing is impossible. Nothing. 



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Ulefone factory in Shenzhen, China

millions like it) were sent off to the US for sale, the trade deficit was listed as one between the China and the US. In reality, the trade deficit was between Japan and the US for the components that Japan provided, and between US and China for the parts China supplied and the assembly cost. Thus, US seems to have a huge trade deficit with China, when in fact it has a much more realistic give and take relationship with multiple countries. This artificial insertion of China into every equation because they're the ones assembling everything makes them look far better than reality would suggest.

Then, there is the case of US subsidiaries who sell products to China, from within China, which is considered domestic trade. Apple does billions of dollars worth of business in China, but China shows that it *imports* merely a few million dollars worth of mobile phones from outside. Apple